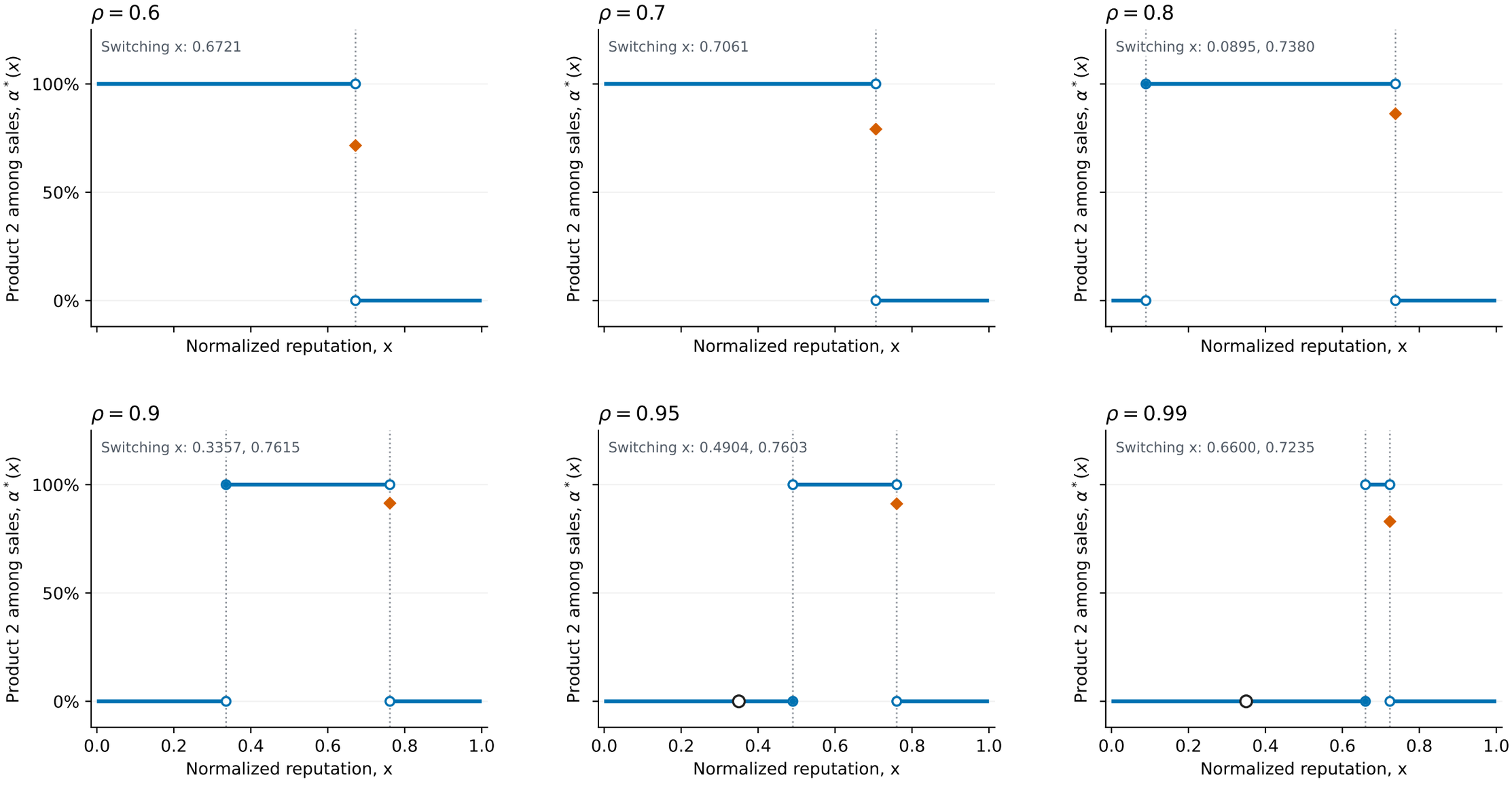
Optimal fluid monopoly policies with forgetting

$p_0 = 0.7$, $p_1 = 0.35$, $p_2 = 0.8$, $c_1 = 0.05$, $c_2 = 0.65$, $R = 1$, $\gamma = 0.98$; mature boundary.

One optimal feedback rule per panel. 0% means product 1; 100% means product 2.



At an attractive threshold, the orange diamond is the holding fraction $\alpha^* = (x - p_1)/(p_2 - p_1)$ used only at that state.